UNIT - II

Motivation and Leading

1. Meaning of Motivation

- The word comes from the Latin **movere** = "to move".
- **Motivation** is the internal drive or force that stimulates a person to act in order to achieve a goal or satisfy a need.
- It is the **willingness to exert high levels of effort** towards organisational goals, conditioned by the effort's ability to satisfy some individual need (Robbins).

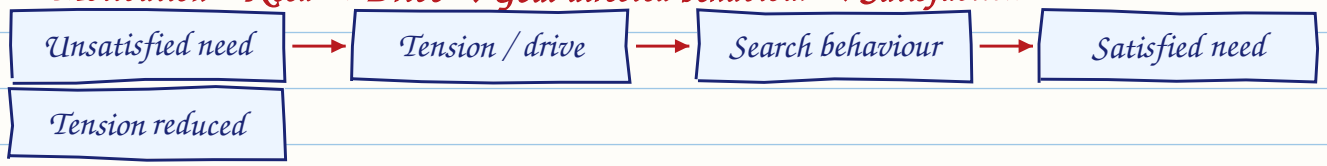
Definitions

Robbins: "Motivation is the willingness to exert high levels of effort toward organisational goals, conditioned by the effort's ability to satisfy some individual need."

Dubin: "Motivation is the complex of forces starting and keeping a person at work in an organisation."

Koontz: "Motivation is a general term applying to the entire class of drives, desires, needs, wishes and similar forces."

- **Motivation = Need → Drive → Goal-directed behaviour → Satisfaction.**



2. Nature / Features of Motivation

- It is an **internal psychological** force; cannot be seen directly, only inferred from behaviour.
- **Goal-directed** — always aimed at satisfying a need.
- **Continuous process** — a satisfied need gives way to a new need.
- **Complex** — people have different, changing needs.
- Can be **positive** (rewards, praise) or **negative** (fear, punishment).
- Motivation ≠ satisfaction. Motivation is the drive; satisfaction is the contentment after achieving.
- Motivation ≠ performance. **Performance = Ability × Motivation × Opportunity.**

3. Types and Importance of Motivation

- **Intrinsic motivation** — from within; interest, achievement, growth, enjoyment of work.
- **Extrinsic motivation** — from outside; pay, bonus, promotion, praise, job security.
- **Financial vs non-financial** incentives.

Importance (why motivation matters)

Higher productivity | Better use of resources | Lower absenteeism and turnover | Job satisfaction and morale | Smooth industrial relations | Acceptance of change | Achievement of goals | Positive organisational image.

4. Classification of Theories of Motivation

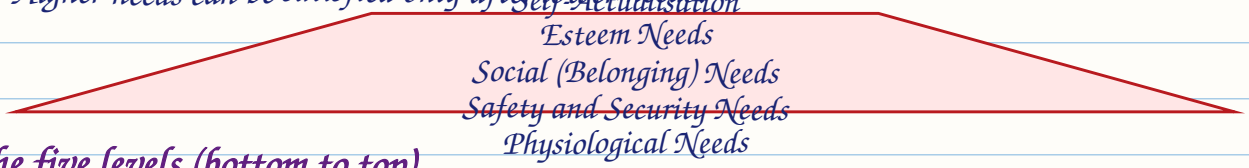
Category	Theories
Content theories (WHAT motivates — needs)	Maslow's Need Hierarchy, Herzberg's Two Factor, McClelland's Needs, Alderfer's ERG
Process theories (HOW motivation happens)	Vroom's Expectancy, Adams' Equity, Porter–Lawler, Locke's Goal Setting
Theories of human nature (managerial assumptions)	McGregor's Theory X and Theory Y
Reinforcement theory	Skinner (consequence based)

5. Maslow's Hierarchy of Needs Theory

- Proposed by **Abraham H. Maslow** in 1943 (paper "A Theory of Human Motivation").
- **Core idea:** people have five levels of needs arranged in a hierarchy of importance; a lower need must be reasonably satisfied before the next higher need becomes a motivator.

Assumptions

- Man is a wanting animal — needs are never fully satisfied.
- A **satisfied need does not motivate**; only an unsatisfied need does.
- Needs arise in order of **prepotency** (lower first).
- Higher needs can be satisfied only after lower needs.



The five levels (bottom to top)

Need level	Meaning	Organisational examples
1. Physiological	food, water, air, shelter, sleep, clothing	basic salary, rest breaks, canteen, ventilation, heating

Need level	Meaning	Organisational examples
2. Safety / Security	protection from danger, threat, economic insecurity	job security, pension, insurance, safe working conditions, PF
3. Social / Belonging	love, affection, friendship, acceptance	team work, friendly colleagues, social events, good supervision
4. Esteem	self-respect, status, recognition, power, achievement	promotion, titles, awards, praise, responsibility
5. Self-actualisation	becoming what one is capable of; growth, creativity	challenging work, creative freedom, development opportunities

- Levels 1–2 = **lower-order (basic) needs** (externally satisfied).
- Levels 3–5 = **higher-order needs** (internally satisfied).
- Maslow said **self-actualisation** is "what a man can be, he must be."

Criticisms / limitations

- Needs do not always follow the strict order (an artist may starve for art).
- Lacks empirical support; hard to measure the needs.
- Same need may lead to different behaviours; different needs may lead to same behaviour.
- Ignores individual and cultural differences.
- Overlap — more than one need can operate at a time.

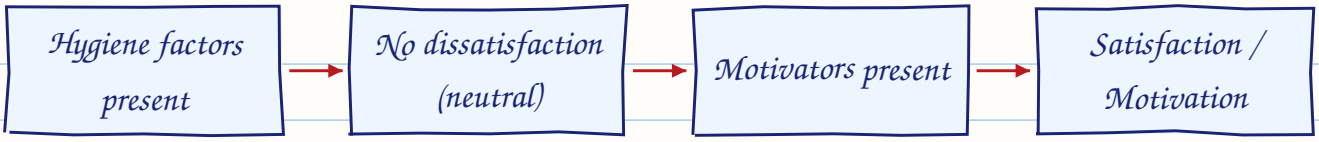
→ Managerial implication: identify the level at which employees are, and offer matching rewards. Remember — a satisfied need is not a motivator.

6. Alderfer's ERG Theory (modification of Maslow)

- Three groups of needs: **E** xistence, **R** elatedness, **G** rowth.
- More than one need at the same time; **frustration–regression** — when a higher need is frustrated, a person returns to a lower need.
- Not rigidly stepped.

7. Herzberg's Two Factor Theory (Motivation–Hygiene Theory)

- Proposed by **Frederick Herzberg** (1959), based on interviews of **200 accountants and engineers** in Pittsburgh asking when they felt exceptionally good or bad about their jobs.
- **Finding:** the factors causing job satisfaction are **different** from the factors causing dissatisfaction. They are two separate continua.



(a) Hygiene Factors (Maintenance factors / Dissatisfiers)

- **Extrinsic** — related to the job context or environment.
- If **absent** → dissatisfaction; if **present** → only no dissatisfaction (they do not motivate).
- Examples: company policy and administration, supervision, salary, interpersonal relations, working conditions, job security, status, personal life.

(b) Motivators (Satisfiers)

- **Intrinsic** — related to job content.
- If present → high satisfaction and motivation; if absent → no satisfaction (not dissatisfaction).
- Examples: achievement, recognition, the work itself, responsibility, advancement (promotion), growth.

Basis	Hygiene factors	Motivators
Nature	extrinsic (context)	intrinsic (content)
Effect when present	prevents dissatisfaction	creates satisfaction
Effect when absent	dissatisfaction	no satisfaction
Examples	pay, policy, supervision, conditions	achievement, recognition, growth

Relationship with Maslow

- Hygiene factors ≈ **physiological, safety and social** needs.
- Motivators ≈ **esteem and self-actualisation** needs.

Job enrichment

- Herzberg recommended **job enrichment** = vertical loading of the job: more responsibility, autonomy, feedback, challenge and growth.

Criticisms

- Based on a limited sample (accountants and engineers); method bias — people credit themselves for good and blame the environment for bad.
- Ignores situational variables; pay can be a motivator for many people.
- Satisfaction is not the same as productivity; no overall measure of satisfaction.

→ Managerial implication: first ensure good hygiene (fair pay, safe place), then use motivators (recognition, challenging work) to truly motivate.

8. Vroom's Expectancy Theory

- Proposed by **Victor H. Vroom** (1964) in "Work and Motivation". It is a **process theory**.
- **Idea:** People are motivated to act in a way that they believe will lead to a desired outcome. The strength of the tendency to act depends on the expectation that the act will be followed by a given outcome and on its attractiveness.

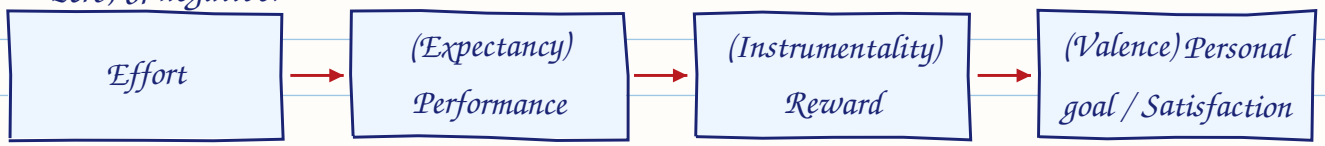
Formula

Motivation (Force) = Valence × Expectancy × (Instrumentality)

$M = V \times E$ (Vroom's original); modern form: **Effort → Performance → Reward**

Three key variables

- **Expectancy (E) — Effort → Performance link:** "If I work hard, will I be able to perform well?" Probability 0 to 1.
- **Instrumentality (I) — Performance → Reward link:** "If I perform well, will I get the reward?" Probability 0 to 1.
- **Valence (V) — value of the reward:** "How much do I value the outcome?" Can be positive, zero, or negative.



- If any one factor is **zero**, the motivation is **zero** (multiplicative).

Example

A salesman works hard (high expectancy), if he knows a target means a bonus (high instrumentality), and he values the bonus highly (high valence) → highly motivated.

Managerial implications

- Improve expectancy: train staff, give resources, set realistic targets.
- Improve instrumentality: clearly link pay and promotion to performance; transparent rules.
- Improve valence: find out what employees value; offer individual rewards.

Criticisms

- Complex and difficult to measure; assumes people are rational calculators.
- Ignores emotions; limited practical use but useful conceptually.

9. Porter–Lawler Model (extension of Vroom)

- **Satisfaction depends on performance**, not the reverse. Performance → intrinsic and extrinsic rewards → perceived equity of rewards → satisfaction.
- Effort is influenced by value of reward and perceived effort–reward probability; role perception and abilities affect performance.

10. McClelland's Theory of Needs (Achievement Motivation Theory)

- Proposed by **David C. McClelland**. Also called the **three needs theory** or **learned needs theory** — needs are acquired through life experience and culture.
- Three major needs that motivate people:

Need	Meaning	Characteristics of high scorers
nAch — Need for Achievement	drive to excel, to achieve in relation to standards, to succeed	prefer moderately difficult goals; want personal responsibility; need quick feedback; calculated risks; good entrepreneurs
nAff — Need for Affiliation	desire for friendly, close interpersonal relationships	want to be liked; prefer cooperation to competition; avoid conflict; good in customer service / counselling
nPow — Need for Power	desire to make others behave as they would not otherwise; to influence and control	like to be in charge; competitive; seek status; two types: personal power (bad) and institutional/social power (good, effective managers)

- Measured through the **Thematic Apperception Test (TAT)** — respondents write stories about pictures.
- **Findings:** High achievers perform best in entrepreneurial roles but are not always good managers of large organisations; the best managers have **high nPow, moderate nAch and low nAff**.
- McClelland believed achievement motivation can be **trained** (e.g., programmes in India — Kakinada experiment).

Criticisms

- Based mainly on TAT, which is subjective; mostly studied among males; cultural bias.

→ Implication: match people with jobs — high nAch for sales/enterprise, nAff for teamwork/service, nPow for management posts.

11. McGregor's Theory X and Theory Y

- **Douglas McGregor**, book "The Human Side of Enterprise" (1960).
- Two sets of assumptions managers make about human nature and thus choose their style of managing.

Aspect	Theory X (traditional)	Theory Y (modern)
View of work	people inherently dislike work and avoid it	work is as natural as play or rest

Aspect	Theory X (traditional)	Theory Y (modern)
Direction	must be coerced, controlled, directed, threatened	self-direction and self-control if committed to goals
Responsibility	avoid responsibility, prefer to be directed	accept and even seek responsibility
Ambition	little ambition; want security above all	commitment depends on rewards; creativity is widely spread
Motivating needs	lower-order (physiological, safety)	higher-order (esteem, self-actualisation)
Leadership style	autocratic, authoritarian	democratic, participative
Control	close supervision	delegation, empowerment
Communication	downward	two-way, open

Managerial implications

- **Theory X:** strict rules, close monitoring, punishment and incentives; suitable in mass production or crisis, with unskilled workers.
- **Theory Y:** participation, job enrichment, decentralisation, goal setting and appraisal; suitable for professional and knowledge-based work.
- McGregor argued Theory Y assumptions are more valid and lead to better results. Linked to Maslow: X → lower needs, Y → higher needs.

Criticism

- Over-simplified two-way classification; no one style is perfect — depends on situation; Theory Y not always practical for all workers.

Theory Z (William Ouchi)

- Japanese-style management: long-term employment, consensus decision-making, collective responsibility, holistic concern for employees.

12. Adams' Equity Theory

- **J. Stacy Adams** (1963) — a process theory based on social comparison.
- **Idea:** People compare the ratio of their **inputs** (effort, education, experience, skill, time) to **outcomes** (pay, recognition, promotion, benefits) with the same ratio of others (referents). Perceived inequity creates tension, which motivates them to restore equity.

Equity comparison

My Outcomes / My Inputs = Others' Outcomes / Others' Inputs → **Equity**

Not equal → **Inequity** (under-rewarded or over-rewarded)

Situation	Ratio	Feeling
Equity	O/I (self) = O/I (other)	satisfaction, continue the same effort
Under-rewarded	O/I (self) < O/I (other)	anger, resentment
Over-rewarded	O/I (self) > O/I (other)	guilt, discomfort

Referents (comparison groups)

- **Self-inside** (own other job in same organisation), **self-outside** , **other-inside** (colleague), **other-outside** (friend, other company).

Ways people reduce inequity

1. Change inputs (work less hard, or more if over-paid).
2. Change outcomes (ask for raise, take unfair gains).
3. Distort perceptions of self or others.
4. Change the comparison person (referent).
5. Leave the field — quit the job or transfer.
6. Act on the others — make them reduce or increase input.

Types of justice linked to equity

- **Distributive justice** — fairness of the amount of reward.
- **Procedural justice** — fairness of the process used to decide rewards.
- **Interactional justice** — fairness in treatment of people.

Managerial implications

- Maintain fair and transparent pay; explain how rewards are decided; avoid secrecy; give feedback; treat everyone consistently; use job evaluation.

Criticism

- Focuses on pay mostly; individuals differ in sensitivity (equity-sensitives, benevolents, entitleds); referent choice is unclear.

13. Other Important Motivation Concepts (extra points)

- **Locke's Goal-Setting Theory:** specific and difficult goals, accepted by the employee, with feedback, lead to higher performance than vague "do your best".
- **Skinner's Reinforcement theory:** behaviour is shaped by its consequences.
- **Job design techniques:** job enlargement (horizontal), job enrichment (vertical), job rotation, flexi-time, job sharing.
- **Management by Objectives (MBO):** participative goal setting and review.

- **Non-financial motivators:** recognition, delegation, praise, training, participation, career growth, quality of work life.
- **Financial motivators:** wages, bonus, profit sharing, ESOP, commissions, allowances, pensions.

13A. Maslow vs Herzberg — Comparison

Basis	Maslow	Herzberg
Type	content theory — need hierarchy	content theory — two factors
Basis of theory	general human needs	job satisfaction of workers
Number of factors	5 levels of needs	2 sets: hygiene and motivators
Order	lower need first, then higher	hygiene first, then motivators
Satisfied need	does not motivate	hygiene factors do not motivate
Focus	all needs motivate if unsatisfied	only intrinsic factors really motivate
Application	wide, general	specific to the work place
Criticism	no research evidence	small sample, method bias

13B. Maslow vs Herzberg vs McGregor — Linking

Maslow	Herzberg	McGregor	Alderfer
Self-actualisation	Motivators (work itself, growth)	Theory Y	Growth
Esteem	Motivators (recognition, achievement)	Theory Y	Growth / Relatedness
Social	Hygiene (relations)	Theory X / Y	Relatedness
Safety	Hygiene (security, policy)	Theory X	Existence
Physiological	Hygiene (pay, conditions)	Theory X	Existence

13C. Content Theories vs Process Theories

Basis	Content theories	Process theories
Focus	WHAT motivates (needs, factors)	HOW motivation is triggered and sustained
Examples	Maslow, Herzberg, McClelland, ERG	Vroom, Adams, Porter–Lawler, Locke
Approach	identify need and satisfy it	understand thinking, expectations, comparison

Basis	Content theories	Process theories
View of person	driven by inner needs	rational decision-maker
Use	designing rewards that fit needs	designing systems of effort, reward, fairness

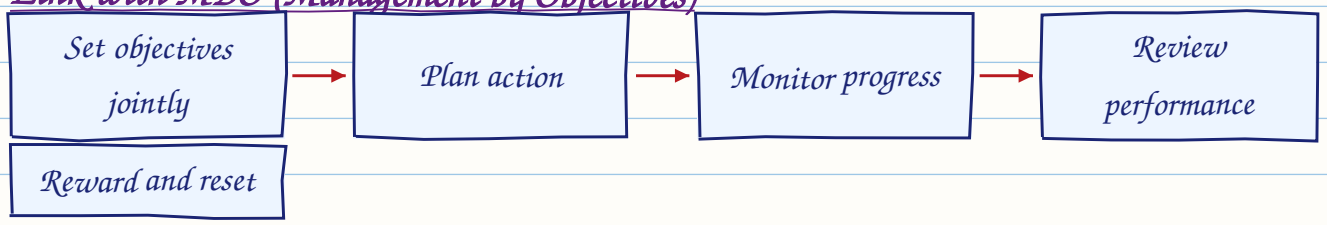
13D. Goal-Setting Theory (Edwin Locke)

- **Core idea:** Conscious goals and intentions are the main source of work motivation.
- Specific goals produce a higher level of output than the generalised goal "do your best".
- **Difficult goals**, when accepted, give higher performance than easy goals.
- **Feedback** guides behaviour and tells whether the effort is on track.

Factors that make goals work

- Goal commitment, self-efficacy (belief that I can do it), national culture, task complexity.

Link with MBO (Management by Objectives)



- Used widely in appraisals — Key Result Areas (KRA), OKRs and balanced scorecard.

13E. Reinforcement Theory (B. F. Skinner)

- Behaviour is a function of **consequences**; what gets rewarded gets repeated (**law of effect**).
- Managers shape behaviour using positive reinforcement, negative reinforcement, punishment and extinction.
- Ignores inner feelings and thoughts — criticised as mechanical.

→ Best practice: reward immediately, reward specific behaviour, reward intermittently (variable schedule) for stronger effect.

13F. Motivation Techniques / Practices in Organisations

Financial incentives

- Wages and salary, piece rate, bonus, commission, profit sharing, gain sharing.
- ESOPs (employee stock options), pay for performance, allowances, perquisites, retirement benefits.

Non-financial incentives

- **Recognition:** employee of the month, certificates, awards, praise, public appreciation.
- **Participation:** quality circles, suggestion schemes, works committees, joint management.
- **Job-related:** job enlargement, enrichment, rotation, empowerment, autonomy.

- **Career:** promotion, training, development plans, job security, mentoring.
- **Quality of work life:** flexible hours, work from home, safe environment, wellness programmes.

Job design approaches

Technique	Meaning
Job rotation	moving employees from job to job to reduce boredom
Job enlargement	adding more tasks of the same level (horizontal loading)
Job enrichment	adding responsibility, planning and control (vertical loading)
Job sharing	two persons share one full-time job
Flexi-time	flexible start and finish times
Telecommuting	working from home with technology

Hackman–Oldham Job Characteristics Model

- Five core job dimensions: **skill variety, task identity, task significance, autonomy, feedback**.
- They create three psychological states: meaningfulness, responsibility, knowledge of results → leading to high motivation and satisfaction.

13G. Motivation, Morale and Job Satisfaction

- **Morale** is the overall attitude or spirit of the group towards the organisation and its goals.
- **Job satisfaction** is a person's feeling about the job — **motivation is the cause, satisfaction is the result**.
- High morale signs: cooperation, low absenteeism, loyalty, discipline. Low morale signs: grievances, strikes, indiscipline, high turnover.

Factors that affect motivation at work

Individual
needs, values, abilities, expectations, personality

Job
nature of work, challenge, variety, autonomy, feedback

Organisation
pay system, policies, culture, supervision

Environment
economic conditions, labour market, social norms

Problems / difficulties in motivating

- Needs differ from person to person and keep changing.
- Employees may hide their real needs.
- Tangible and intangible rewards must be balanced.
- Resource limits of the organisation and cultural differences.

13H. Small Case Illustrations (use in answers)

Case 1 — Maslow

A software firm gives a high salary, but employees still leave. Reason: they are at the esteem and self-actualisation levels and need recognition and challenging projects. Pay (a lower-order need) is already satisfied, so it no longer motivates.

Case 2 — Herzberg

A factory improves canteen, rest-room and lighting (hygiene) — complaints drop but productivity does not rise. Productivity improves only after job enrichment and recognition are introduced.

Case 3 — Equity

Ravi and Suresh do the same job; Suresh gets a higher increment although both work equally. Ravi feels under-rewarded → reduces effort or demands a raise or looks for another job.

Case 4 — Expectancy

An employee does not try for a sales target because he believes the target is impossible (low expectancy), or that the bonus will not be paid fairly (low instrumentality), or that the bonus is a small amount (low valence).

14. Leading — Introduction

- **Leading (Directing)** is the managerial function of influencing, guiding, motivating and communicating with people so that they work willingly towards organisational objectives.
- Linked to motivation: **Leading = Motivation + Leadership + Communication + Supervision.**
- Elements of leading:

Supervision direct oversight of employees at work	**Motivation** inspiring people to give their best
Leadership guiding and influencing the group	**Communication** sharing information, ideas, feelings

Importance of leading

- Initiates action; integrates efforts; provides stability; helps in change; builds morale and discipline; creates co-ordination; maximises effectiveness.

15. Comparative Summary of Theories

Theory	Proposed by	Key concept
Need Hierarchy	Maslow	5 levels of needs; lower before higher
Two Factor	Herzberg	hygiene (no dissatisfaction) vs motivators (satisfaction)
Expectancy	Vroom	$M = V \times E \times I$; effort → performance → reward

Theory	Proposed by	Key concept
Need Theory	McClelland	achievement, affiliation, power
Theory X/Y	McGregor	negative vs positive assumptions about workers
Equity	Adams	input/outcome ratio compared with others
ERG	Alderfer	existence, relatedness, growth; frustration–regression
Goal Setting	Locke	specific, difficult goals with feedback

16. Quick Revision — Unit II

Must remember

Motivation = internal drive | Maslow: 5 needs | Herzberg: hygiene vs motivator | Vroom: Expectancy, Instrumentality, Valence | McClelland: nAch, nAff, nPow | McGregor: X vs Y | Adams: equity = outcome/input ratio comparison.

Possible exam questions

1. Define motivation. Explain Maslow's hierarchy of needs with a diagram.
2. Explain Herzberg's two-factor theory and its criticism.
3. Discuss Vroom's expectancy theory and its managerial implications.
4. Explain McClelland's theory of needs.
5. Distinguish between Theory X and Theory Y.
6. Explain Adams' equity theory and how inequity is reduced.
7. Compare content theories and process theories of motivation.